

Money and banking - lesson 1

3.1.1 Money

货币

Definition, forms and functions



A stack of coins resting on colourful banknotes

Pixabay / Pexels

Is the phone the money? When a customer taps a phone at this terminal, what is actually being transferred?

顾客用手机在这个终端付款
时，真正被转移的是什么？

Show possible answer

A customer holding a smartphone above a contactless payment terminal

Jack Sparrow / Pexels

By the end, you can

1

Define money.

定义货币。

2

**Distinguish forms of money
from payment tools.**

区分货币形式与支付工具。

3

**Explain the four functions of
money.**

解释货币的四种职能。

What counts as money?

什么可以算作货币？

1 What counts as money?

2 The four functions of money



KEY TERM

Money

货币

DEFINITION

Anything **generally accepted**
as a **means of payment**.

任何被普遍接受、可用于支付的东西。

generally accepted

被普遍接受

buyers and sellers are normally willing to receive it

means of payment

支付手段

it can settle purchases and debts

Check

Which item best fits the definition of money?

哪一项最符合货币的定义？

- ☒ A A balance in a current bank account that can be used for payments
- ☐ B A smartphone used to open a payment app
- ☐ C A shop voucher accepted by only one retailer
- ☐ D A gold ring kept because it may rise in value

Common forms of money today



Coins 硬币

small-value physical currency



Banknotes 纸币

paper or polymer currency



Bank deposits 银行存款

account balances used for payments

Exam distinction: the card or phone is usually the payment method; the deposit balance is the money.

Money or payment tool?

货币还是支付工具?

1 RMB 80 in coins and banknotes

Money

The currency can be handed over to settle a payment.

2 RMB 800 in a current account

Money

The bank deposit is value available for account payments.

3 A plastic debit card

Payment tool

The card gives access to the money in an account.

4 A phone showing a payment app

Payment tool

The phone instructs an account transfer; it is not itself the money.

The four functions of money

货币的四种职能

1 What counts as money?

2 The four functions of money

**How would you buy things
if there was no money?**

FUNCTION 1 OF 4

Medium of exchange

交换媒介

DEFINITION

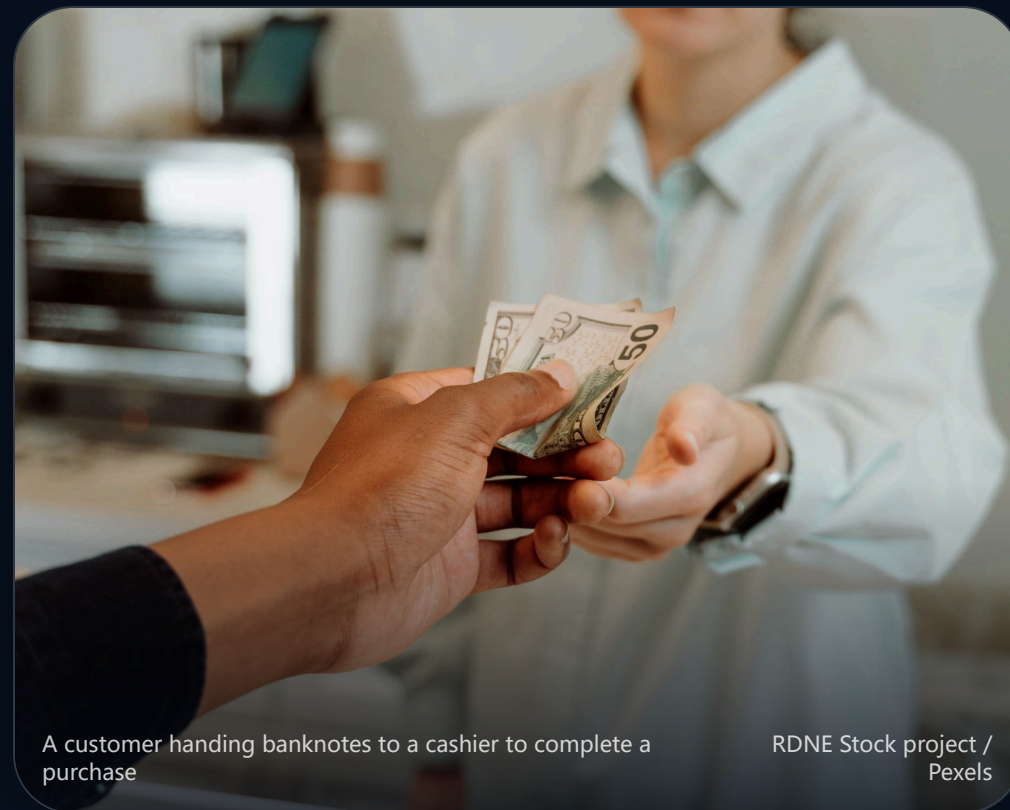
Money can be used to
buy goods and services
and to trade.

货币可以用来购买商品和服务，并完成交易。

buy goods and services

购买商品和服务

money is handed over to complete an exchange now



A customer handing banknotes to a cashier to complete a purchase

RDNE Stock project /
Pexels

Is money completing an exchange now?

货币现在是否正在完成交易？

Vote on each statement. Only one shows money acting as a medium of exchange.

1 A customer gives a baker RMB 20 and receives bread.

Yes

Money completes the purchase now, so it is a medium of exchange.

2 A bakery labels bread at RMB 20.

No

The price measures value, so this is unit of account.

3 A customer keeps RMB 20 for next week.

No

Keeping purchasing power for later is store of value.

**How could you compare
the value of a bicycle and
a phone without prices?**

FUNCTION 2 OF 4

Unit of account

计价单位

DEFINITION

Money measures

how much a product is worth .

货币衡量一种产品值多少钱。

how much a product is worth

一种产品值多少钱

one common unit lets consumers compare prices and value



Milk cartons displayed above price labels on supermarket shelves

Nothing Ahead / Pexels

One function of money is to act as a measure of value. What does this mean?

- ☒ **A** Money allows people to borrow and lend.
- ☐ **B** Money allows people to save surplus income.
- ☐ **C** Money is used to buy goods and services.
- ☐ **D** Money is used to compare the worth of different goods and services.

**You earn money today
but want to spend it next
month. What could you do?**

FUNCTION 3 OF 4

Store of value

价值储藏

DEFINITION

Money allows people to
save value over time.

货币使人们能够随时间保存价值。

save value over time

随时间保存价值

purchasing power is carried from the present into the future



A hand placing rolled banknotes into a glass savings jar

Kaboompics.com / Pexels

During rapid inflation, why may cash perform poorly as a store of value?

- ☒ A Cash can no longer be used as a medium of exchange.
- ☐ B Its purchasing power falls as prices rise.
- ☐ C Cash becomes impossible to divide into smaller values.
- ☐ D Its denomination becomes impossible to recognise.

**If you buy a bicycle now but
pay next month, how could
you agree the amount owed?**

Standard of deferred payment

延期支付标准

DEFINITION

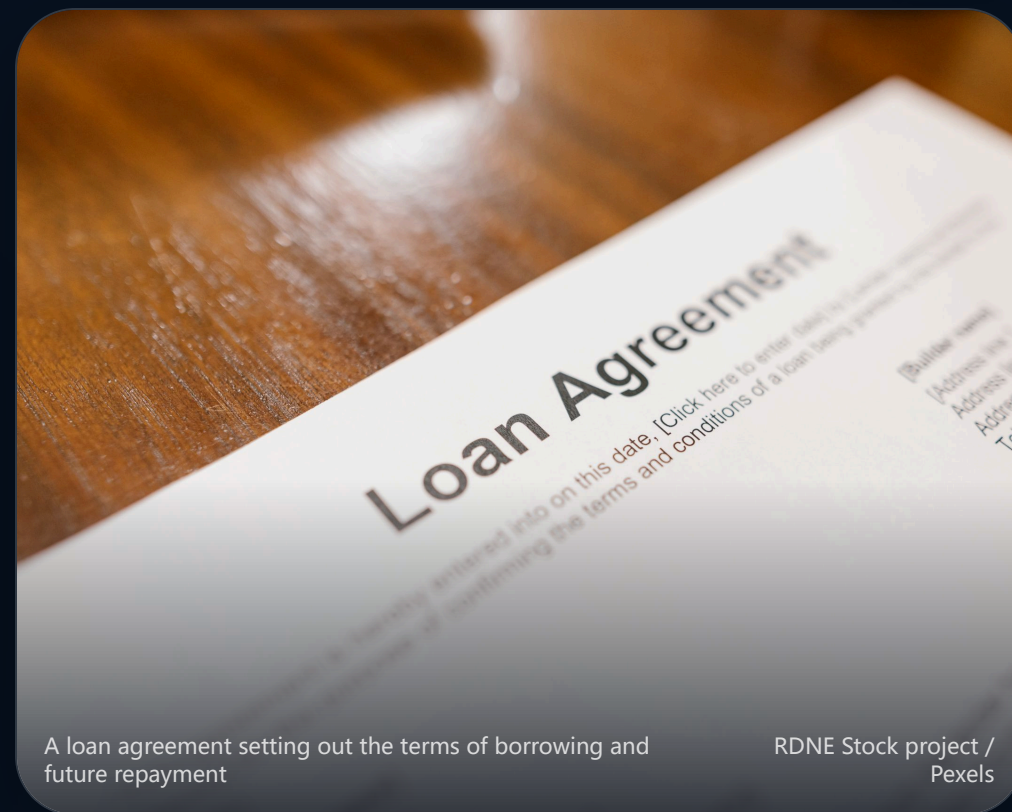
Money is used for borrowing and lending, making **payments in the future**.

货币用于借贷，并作为将来付款的标准。

payments in the future

将来的付款

the amount owed now can be measured and repaid later



A loan agreement setting out the terms of borrowing and future repayment

RDNE Stock project / Pexels

Complete the missing sentence

先判断货币职能，再补全解释。

1 Mina buys a bicycle today and agrees to repay RMB 400 each month.

2 Money acts as a
standard of deferred payment
because it provides an agreed unit for payments made in the future.

3 Compare: keeping RMB 400 until next month would instead show a store of value.

Say why this is not simply a medium of exchange.

FUNCTIONS OF MONEY



Medium of exchange

Used to buy goods and services or to trade.



Unit of account / measure of value

Measures how much a product is worth.



Store of value

Allows people to save.



Standard of deferred payment

Used for borrowing and lending.

Name the function

判断货币职能

1 A cafe lists tea at RMB 18 and juice at RMB 24.

Unit of account

Prices use one common unit so customers can compare value.

2 A student pays RMB 18 for the tea.

Medium of exchange

Money is used to complete a trade now.

3 A family keeps RMB 3,000 for next term.

Store of value

Purchasing power is kept for future use.

4 A borrower agrees to repay RMB 600 each month.

Deferred payment

Money provides the agreed unit for payments made later.

FOUR FUNCTIONS OF MONEY



**MEDIUM OF
EXCHANGE**



**UNIT OF
ACCOUNT**



**STORE OF
VALUE**



**STANDARD OF
DEFERRED PAYMENT**

Exit ticket

离堂小测

- 1 Money is anything generally accepted as a means of **payment** .
- 2 Prices use money as a unit of **account** .
- 3 Money provides a standard for repaying debts later: standard of **deferred** payment.

Identify two functions of money. [2]

PAPER 2

2 marks

Identify

2 x 1

Skills: K

WRITE ONLY TWO

1

medium of exchange

2

unit of account

3

store of value

4

standard of deferred
payment

Write two function names. Do not add characteristics of money.

Identify two functions of money. [2]

PAPER 2

2 marks

Identify

2 x 1

Skills: K

MODEL ANSWER

Medium of exchange.

Store of value.

Why this scores well

One mark is awarded for each valid function. Characteristics earn no credit. If more than two functions are listed, only the first three are considered.

Explain two functions of money. [4]

PAPER 2

4 marks

Explain

2 x (1 + 1)

Skills: K/An

BUILD TWO COMPLETE LINKS

1

name the function

2

explain what it does

3

one mark + one mark

For each function, name it and explain what money allows people to do.

Explain two functions of money. [4]

PAPER 2

4 marks

Explain

2 x (1 + 1)

Skills: K/An

MODEL ANSWER

Money is a **medium of exchange** because it is used to **buy goods and services** and to trade.

Money is a **unit of account** because it **measures how much a product is worth**, allowing values to be compared.

Why this scores well

Each paragraph earns one mark for naming the function and one mark for explaining what it enables.